

Costco Wholesale Corporation

The Flywheel Has Never Spun Faster, and the Multiple Has Never Priced In More Of It: Neutral, Dec-27 PT \$1,030

COST, NasdaqGS | Discount & Warehouse Retail

NEUTRAL

Price (4 Feb 2026): **\$978.35**

Price Target (Dec-27): **\$1,030.00**

INVESTMENT THESIS

We initiate coverage of Costco at Neutral with a Dec-27 target of \$1,030, ~5.3% above the \$978.35 close of 4 February, plus a 0.5% dividend yield for a total return of roughly 5.8%. There is little dispute about the business. Q1 FY26 (12 weeks ended 23 November, reported 11 December) produced adjusted comparable sales of 6.4%, digitally-enabled comps of 20.5% and membership fee income up 14% to \$1.329bn. The January sales release, out 4 February, the day before this note, showed the trend still building: 6.4% adjusted total-company comps on a four-week basis. The debate is not whether Costco is executing. It is whether a stock at 48.9x FY26E consensus EPS of \$20.00, against a trailing multiple that sat in the high-30s to low-40s as recently as FY21-23, is being asked to keep compounding at a pace few retailers ever sustain for long.

Renewal rates tell the two-sided version of the same story: 92.2% in the US and Canada, 89.7% worldwide, both down 10 basis points sequentially as online sign-ups, which retain at a lower rate than warehouse-acquired members, mix into a base still growing 5% a year. Membership fees, \$5.3bn in FY25 and 51.3% of operating income, are Costco's actual profit engine; the merchandising side earns an implied 1.9% operating margin on \$269.9bn of net sales, which is precisely why the stock does not trade like a grocer. We do not doubt the flywheel: EPS has compounded 12.7% annually over the past four fiscal years. We doubt that \$978 needs another four years of exactly that, at a multiple that has already re-rated 12-14 points since FY23 with no sign of giving any of it back.

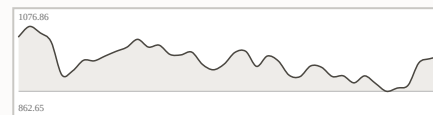
- Comps are accelerating, not slowing: 6.4% adjusted total-company growth in Q1 FY26 and again in the January sales month, with digitally-enabled sales up 18.9-34.4% across three straight releases.
- Renewal rates (92.2% US/Canada, 89.7% worldwide) are drifting down 10bp a period as online sign-ups dilute the base, a trend management expects to persist for "a few quarters."
- The stock trades at 48.9x FY26E EPS versus a 38.4-40.5x band as recently as FY21-23; our blended target implies only ~5.8% total return, mechanically Neutral.

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PRICE PERFORMANCE



Actual daily closes, 5 Feb 2025 to 4 Feb 2026, sampled to 40 points. Intraday 52-week range \$844.06-\$1,078.23; last close \$978.35.

COMPANY DATA

Shares O/S (mm)	443.8
Market Cap (\$bn)	434.2
Enterprise Value (\$bn)	427.2
52-Week Range	\$844.06 - \$1,078.23
52-Week Price Change	-6.2%
Avg. Daily Volume (20d, mm)	2.78
Free Float	~99%
Beta (5Y)	-
P/E (TTM, GAAP)	52.4x
Forward P/E (FY26E)	48.9x
P/S (TTM) EV/EBITDA (TTM)	1.55x 32.7x
Dividend (qtrly ann.)	\$1.30 \$5.20
Dividend Yield	0.53%
Renewal Rate (WW US/CAN)	89.7% 92.2%
Fiscal Year End	Late Aug/early Sept

KEY METRICS / ESTIMATES

(\$mm, except EPS)	FY24A	FY25A	FY26E	FY27E
Total revenue	254,453	275,235	296,350	318,600
% growth	5.0%	8.2%	7.7%	7.5%
Membership fees	4,828	5,323	-	-
Diluted EPS	\$16.56	\$18.21	\$20.00	\$22.00
% growth	16.9%	10.0%	9.8%	10.0%
P/E (@ \$978.35 close)	59.1x	53.7x	48.9x	44.5x
Renewal rate, WW	-	89.8%	-	-

FY24A/FY25A per company earnings release of 25 Sep 2025 and SEC EDGAR; fiscal years end the Sunday closest to 31 Aug. FY26E revenue/EPS are Street consensus dated 11 Dec 2025 (Zacks; Costco issues no formal guidance). FY27E is analyst-derived, not consensus (10% two-year EPS CAGR, 7.5% revenue growth; see Valuation). Membership fees/renewal rate not split out for FY26E/FY27E, shown "-". P/E row applies the \$978.35 close to each period's EPS to show multiple change, not a forecast. Beta "-": no figure datable to 5 Feb 2026.

COMPANY OVERVIEW

Costco operates 924 membership warehouses worldwide as of 1 February 2026 (633 in the US and Puerto Rico, the balance across Canada, Mexico, the UK, Japan, Korea, Australia, Spain, France, Iceland, China and Taiwan), selling a curated, high-velocity assortment at thin margin, subsidised by an annual fee that renews near 90% worldwide. The company ended Q1 FY26 with 81.4m paid member households, 145.9m cardholders and 39.7m Executive members, 47.7% of paid members and roughly 74% of worldwide sales. Kirkland Signature penetration continues to rise and management cited it as a Q1 gross-margin driver. Beyond the core merchandise mix of groceries, appliances, electronics and general merchandise, Costco runs ancillary businesses, gas stations, pharmacies, optical centres, food courts and travel, that build traffic and further support the low-margin, high-turnover model. Costco plans 35 new warehouses, 30 net of five relocations, in FY26 (announced 25 September 2025), against Q1 FY26 capital expenditure of \$1.526bn. The fiscal year ends the Sunday closest to 31 August; FY26 is a 52-week year ending 30 August 2026.

Q1 FY26 RESULTS AND MONTHLY SALES

Q1 FY26 (12 weeks ended 23 November 2025, reported 11 December) delivered net sales of \$65.978bn, up 8.2% YoY, and total revenue of \$67.307bn. Total-company comparable sales rose 7.0% reported and 6.4% adjusted for gasoline deflation and FX, with the US at 5.9%, Canada 6.5% (9.0% adjusted) and Other International 8.8% (6.8% adjusted); digitally-enabled comps rose 20.5%, with website traffic up 24% and app traffic up 48%. Worldwide traffic rose 3.1% and average ticket 3.2%, a healthier split than the ticket-led prints of recent years. Membership fee income rose 14% to \$1.329bn; CFO Gary Millerchip said "a little less than half" of that growth still traces to the September 2024 US/Canada fee increase working through the renewal cycle, with the balance organic. Gross margin ex-gas rose 4bp to 11.32%, with core-on-core margins up 30bp on "supply chain improvements and an increase in KS penetration." Diluted EPS was \$4.50 (GAAP), up 11.4% YoY, though \$0.16 of that reflected a stock-compensation tax benefit against \$0.22 a year ago; ex that item EPS of \$4.34 still beat the \$4.28 Street estimate. SG&A ran 9.60% of net sales, 1bp worse YoY, absorbing a 4bp tax-assessment charge; Costco called that essentially flat leverage on 8% sales growth. Operating income rose 12.2% to \$2.463bn, and the quarter closed with \$17.2bn of cash and short-term investments against \$5.75bn of gross long-term debt, plus \$210m of Q1 buybacks at an average \$932.02 per share.

Two monthly sales releases have landed since the quarter closed, both public before this note. December (five weeks to 4 January) posted 7.0% reported and 6.2% adjusted total-company comps, an 18-week fiscal-year-to-date adjusted pace of 6.3%. January (four weeks to 1 February, released 4 February) came in at 7.1% reported and 6.4% adjusted, with US adjusted comps of 6.8%, the best US print of the three data points, though management flagged that this year's Lunar New Year shift to 17 February trimmed Other International and total-company growth by roughly 4.0% and 0.5% respectively, a timing effect the company expects to reverse in the February release. On tariffs, Costco disclosed in its Q1 Form 10-Q that it had sued to preserve refund rights on duties paid under the tariff authority then before the Supreme Court, a case argued but not yet decided as of this note. Management's stated mitigation is sourcing diversification, reshoring select production and Kirkland Signature substitution, not price increases: "our buyers continue to do a great job reducing the impact of tariffs for our members," per Millerchip, while CEO Ron Vachris reiterated that Costco "will never succumb to not being the best price."

FINANCIAL SUMMARY

Costco Wholesale Corporation -- Summary Financials

\$ in millions, except per-share data	FY24A	FY25A	Q1'26A	FY26E	FY27E
Net sales	249,625	269,912	65,978	-	-
Membership fees	4,828	5,323	1,329	-	-
Total revenue	254,453	275,235	67,307	296,350	318,600
% growth YoY	5.0%	8.2%	8.2%	7.7%	7.5%
Operating income	9,285	10,383	2,463	-	-
Operating margin	3.6%	3.8%	3.7%	-	-
Membership fees / op. income	52.0%	51.3%	54.0%	-	-
Net income	7,367	8,099	2,001	~8,876	~9,680
Diluted EPS	\$16.56	\$18.21	\$4.50	\$20.00	\$22.00
% growth YoY	16.9%	10.0%	11.4%	9.8%	10.0%
P/E on diluted EPS (@ \$978.35)	59.1x	53.7x	-	48.9x	44.5x

Memo: capital expenditure \$4,710mm (FY24), \$5,498mm (FY25), \$1,526mm (Q1'26 YTD); free cash flow \$6,629mm (FY24), \$7,837mm (FY25)

Source: company earnings releases (25 Sep 2025 for FY25/FY24; 11 Dec 2025 for Q1 FY26), Form 10-Q filed for the period ended 23 Nov 2025, SEC EDGAR; Street consensus for FY26E (Zacks Investment Research, dated 11 Dec 2025); Akul Veauli Securities LLC. Net sales and membership fees are not disclosed separately in free consensus sources for FY26E/FY27E and are shown as "-"; operating income is not published as a discrete consensus line for Costco by the aggregators checked and is also "-". FY26E/FY27E net income is derived from consensus/analyst-derived EPS multiplied by an estimated 443.8mm diluted share count (FY26E) and 440.0mm (FY27E, assuming continued modest buybacks) and is therefore approximate, denoted with "~". FY27E figures throughout are analyst-derived, not published consensus; see Valuation and Price Target. Multiples computed on the \$978.35 close of 4 Feb 2026, the last close before this note's as-of date.

MEMBERSHIP ECONOMICS AND THE PRICE OF THE FLYWHEEL

Costco's investment case has always rested on one mechanism: sell merchandise near cost to drive traffic and membership, then earn the actual profit on the fee. FY25 membership fee income of \$5.323bn was 51.3% of the company's \$10.383bn of operating income, on net sales of \$269.9bn generating an implied 1.9% operating margin once the fee is stripped out. That 1.9% is not a disclosed segment result, Costco does not report merchandising profitability separately, but it is arithmetically what remains, and it is consistent with the company's roughly 11% gross margin and thin SG&A leverage on a warehouse-club format. The fee is close to pure profit: incremental renewals cost almost nothing to service, and at 92.2% (US/Canada) and 89.7% (worldwide) retention, the overwhelming majority of the \$5.3bn recurs automatically.

That durability is exactly what the market is paying for, and it is worth pricing separately. Capitalise the fee stream alone, generously, at 25x pre-tax income, a multiple in line with high-retention subscription businesses, and it is worth roughly \$133bn. The remaining \$301bn of Costco's \$434bn market cap is then being assigned to a merchandising operation earning an implied \$5.1bn of operating income on \$269.9bn of sales, nearly 60x that residual profit stream, for a business whose entire design is to run near breakeven. We do not think that decomposition is literally how the market prices the stock. We do think it illustrates that Costco's premium is not really a bet on membership economics, which are excellent and well understood, but a bet that the low-margin merchandising business itself deserves a growth-stock multiple, because a linear-scale retailer selling groceries and electronics at a roughly 1.9% operating margin does not obviously earn 44-53x independent of the fee stream wrapped around it.

Renewal rates are the number to watch for whether that bet keeps working. Both US/Canada and worldwide renewal declined 10bp sequentially into Q1 FY26, a trend management attributes to online sign-ups (nearly half of new members are now under 40) renewing at a structurally lower rate than warehouse-acquired members. Millerchip has called this "a few quarters" of dynamic rather than a new normal, and 47.7% of members are already Executive tier, driving 74.2% of worldwide sales, a cohort that renews at a materially higher rate than Gold Star. We take management's framing at face value; it is the more likely reading given member growth of 5.2% and cardholder growth of 5.1% YoY alongside the dip. A stock priced at nearly 50x forward earnings, though, has very little room for that framing to be wrong for more than a quarter or two.

VALUATION AND PRICE TARGET

Our \$1,030 Dec-27 target is a weighted blend of three mechanical anchors, computed against the \$978.35 close of 4 February. (1) Held multiple, 40% weight: applying the stock's own current 48.9x FY26E forward multiple to an analyst-derived FY27E EPS of \$22.00 (a 9.9% two-year CAGR off FY25's \$18.21, below Costco's trailing four-year EPS CAGR of 12.7%) gives \$1,075.80 (45x: \$990.00; 52.4x, today's trailing multiple: \$1,152.80). (2) Partial multiple reversion, 35% weight: applying 44x, roughly the midpoint between Costco's own FY21-23 trailing band of 38.4-40.5x and today's 52.4x trailing multiple, to the same FY27E EPS gives \$968.00 (40x: \$880.00; 48x: \$1,056.00). (3) Street consensus, 25% weight: the average of seven standing analyst targets we can date to on or before 5 February, six issued in direct reaction to the 11 December print, is \$1,052.14 (Goldman Sachs \$1,171, Bernstein \$1,146, Jefferies \$1,050, HSBC \$1,045, JPMorgan \$1,027, Baird \$1,000, Truist \$926). The blend is \$1,032.16, rounded to \$1,030, an implied total return of 5.3% on price and 5.8% including the 0.53% dividend yield, Neutral under our >15%/<0% Overweight/Underweight thresholds.

The growth arithmetic is the honest way to see why. Costco has compounded diluted EPS at 12.7% annually over FY21-25. Simply repeating that pace to FY27E, EPS near \$23.15, while holding today's 48.9x multiple exactly flat would put the stock above \$1,130, comfortably past our +15% Overweight hurdle. That is not an unreasonable business outcome for this franchise. It is, however, an aggressive assumption for the price: it demands zero multiple normalisation from a level already 8-14 points above where Costco itself traded as recently as FY21-23, on a base of 924 warehouses and a membership fee model now facing a renewal-rate headwind rather than a tailwind. Our blend instead credits a more conservative 9.9% two-year EPS CAGR and gives back roughly a third of the FY23-26 re-rating. That combination, not a bearish view of the underlying business, is what produces \$1,030.

The rating sits closer to its downside flip than its upside one. Any target below \$978.35 (zero return) maps to Underweight; any target above \$1,125.10 (+15%) maps to Overweight. At \$1,032 we are 5.6% above the floor and 8.3% below the ceiling, meaning a modest miss on either the multiple-reversion assumption or the FY27E growth number, not a change in our read of the business, would be enough to tip the call. An analyst willing to hold the current 48.9x multiple flat through Dec-27, effectively method (1) alone, lands at Overweight with room to spare; several covering analysts hold Buy-equivalent ratings on exactly that logic even as four of the seven firms we can date cut their targets on 12 December. That is a defensible position built on the same facts. We are not there, because we think a stock already trading above its own five-year multiple band should have to earn further re-rating with evidence, specifically two or three more quarters of stable-to-improving renewal rates, rather than being underwritten to hold it by default.

UPSIDE RISKS

Developments that could drive the shares above our price target include, but are not limited to, the following:

- Renewal rates stabilise faster than guided. If the online sign-up mix effect resolves in one to two quarters rather than the "few quarters" CFO Millerchip framed, both US/Canada and worldwide renewal could reverse toward their prior highs, removing the market's main quality concern.
- Comps momentum keeps building. Adjusted total-company comps ran 6.4% in Q1, 6.2% in December and 6.4% in January, three consecutive prints in a tight band with no deceleration signal yet visible in the data available to us.
- Digital scales faster than expected. Digitally-enabled comps of 18.9-34.4% across the last three reported periods, with app traffic up 48% in Q1, are a structurally higher-margin channel if the growth rate holds as it scales.
- Membership fee optionality. Executive members are 47.7% of the base and growing 9%+ a year; further mix shift toward Executive, or any future fee action, would lift the highest-margin revenue line disproportionately.
- A favourable tariff outcome. Costco sued to preserve refund rights pending the Supreme Court's ruling on the tariff authority in question; a ruling against those tariffs would be a direct, quantifiable cost tailwind that neither our estimates nor consensus currently assume.
- Kirkland Signature penetration. Management cited rising KS mix as a 30bp core-margin driver in Q1; further private-label share gains are a lever Costco controls largely on its own timetable.
- New warehouse productivity. 35 planned FY26 openings, 30 net of relocations, into markets with existing membership waitlists typically ramp faster than the chain average, supporting unit economics ahead of the historical curve.
- A market that simply keeps paying up. Costco has traded above 44x forward earnings for multiple consecutive quarters; if investors continue rewarding defensive, high-retention compounders at a premium, the multiple needs no reversion at all for our target to prove conservative.

DOWNSIDE RISKS

Developments that could drive the shares below our price target include, but are not limited to, the following:

- The multiple has no margin for error. At 48.9x FY26E and 52.4x trailing, any comp deceleration, membership disappointment or macro shock invites multiple compression on top of, not instead of, any earnings miss.
- Renewal rates keep drifting down. Two straight 10bp declines in both US/Canada (92.2%) and worldwide (89.7%) retention could prove a genuine mix shift rather than the temporary online-signup effect management expects to fade.
- Tariffs remain a live, unresolved cost. Costco's own Form 10-Q calls tariffs "more likely to adversely impact rather than improve" results, and the underlying legal challenge remained pending before the Supreme Court as of this note.
- The January comp beat carries a known distortion. The Lunar New Year calendar shift trimmed Other International and total-company growth by roughly 4.0% and 0.5% in January; the scheduled reversal in February could read as deceleration even if underlying demand is unchanged.
- Gas price and FX are doing some of the work. Reported comps (7.0-7.1%) have consistently run ahead of adjusted comps (6.2-6.4%) on gasoline deflation and currency; a reversal in either would flatter the adjusted numbers investors actually price off.
- Thin retail economics leave no cushion. An implied merchandising operating margin of roughly 1.9% on \$269.9bn of sales means modest cost shocks, freight, wages or tariffs, move earnings meaningfully before the membership fee offset shows up.
- Executive mix concentration. Executive members drive 74.2% of worldwide sales on 47.7% of the base; any slowdown in Executive upgrades or retention has an outsized effect on both traffic and fee income.
- Valuation history argues against complacency. Costco's own trailing P/E sat in a 38.4-40.5x band as recently as FY21-23; a reversion of even half that gap, with no change in the earnings outlook, is a double-digit percentage move in the stock.
- Mixed sell-side reaction to a beat. Goldman Sachs, Jefferies, Baird and Truist all cut price targets on 12 December even after Costco beat consensus EPS, suggesting professional investors already see less room for upside surprise than headline ratings imply.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. This report is a template and style exercise; the named individual and firm are fictitious and this certification is illustrative only.

IMPORTANT DISCLOSURES

This report is a formatting and style exercise created for demonstration purposes. "Akul Veauli" and "Akul Veauli Securities LLC" are fictitious. Costco Wholesale Corporation (NasdaqGS: COST) is a real company, and the historical financial and operating data cited are drawn from public filings, company press releases, earnings-call transcripts and third-party market-data aggregators; the rating, price target, estimates and commentary, however, are the illustrative output of a stated mechanical formula and do not represent a real research view. This document is not affiliated with, produced by, reviewed by, or endorsed by J.P. Morgan Chase & Co. or any of its affiliates; any visual resemblance to sell-side layout conventions is stylistic only.

Point-in-time basis: this note is written as of 5 February 2026 and uses no information published after that date. The quoted price is the 4 February 2026 close of \$978.35, the last close before the as-of date. The Supreme Court challenge to the tariff authority discussed in this note remained pending and undecided as of 5 February 2026, and Q2 FY26 results had not yet been reported; neither is reflected here.

Estimate sourcing: FY2025A/FY2024A figures are per Costco's earnings release of 25 September 2025 and SEC EDGAR filings; Q1 FY26A per the release of 11 December 2025 and the Form 10-Q for the period ended 23 November 2025. FY2026E total revenue (\$296,350mm) and diluted EPS (\$20.00) are Street consensus reported by Zacks Investment Research on 11 December 2025; Costco issues no formal guidance. FY2027E figures (\$318,600mm revenue, \$22.00 EPS) are analyst-derived, not published consensus. Net sales, membership fees and operating income are not tracked separately for FY2026E/FY2027E by free aggregators and are shown "-"; net income for those years is derived from EPS and an estimated share count, denoted "~". The seven analyst targets cited in Valuation are each firm's most recent action datable to on or before 5 February 2026; six were issued 12 December 2025 reacting to the Q1 print. Broader consensus-target averages could not be dated to the as-of date and are omitted. Beta is "-": no figure was datable to the as-of window. The price chart uses actual daily closes, sampled to forty points, and is a reduced representation rather than a tick-accurate series.

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RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target, including the declared but not reinvested annualised dividend: Overweight above +15%, Underweight below 0%, Neutral otherwise. COST's implied total return of +5.8% (+5.3% price, +0.5% dividend) maps to Neutral; the rating would flip to Overweight at any price target above \$1,125.10 and to Underweight at any target below \$978.35. These definitions are illustrative, generic sell-side rating conventions provided for template purposes only.

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